ANNEX I
ESA PROFIT POLICY

1. Purpose

The purpose of this document is to provide a policy for the profit determination in procurements of the European Space Agency (ESA). This is achieved by establishing a standard methodology for the determination of a fair and reasonable profit linked to risk, providing transparency and understanding to all stakeholders and allowing to:

- Reward contractors fairly and reasonably commensurate with risk;
- Treat all contractors equitably and in a consistent manner;
- Incentivise and sustain the European space industry in a competitive environment and;
- Achieve value for money in ESA procurements.

This profit policy is meant to define a reference baseline regarding profit determination at any level of the supply chain, whenever the procurement could be considered in the frame of the Space procurement. The Executive is expected to use this policy in implementing its programmes, bearing in mind that modalities can be adapted to better fit the particularities of each individual project and/or procurement action. The implementation modalities of this profit policy (i.e. Profit fee and minimum level of Management Reserve) will be outlined in the relevant procurement proposal to the IPC, bearing in mind that further refinement can be made in the ITT as a result of the Pre-TEB detailed assessment of the particularities of the relevant procurement. This profit policy is not applicable to General procurement.

The Profit Policy is a combination of (1) an adequate Profit Rate commensurate to the risks taken and (2) a further improvement of Contractual Risk Sharing provisions.

2. Profit Rate

The procurements of ESA allow for the contractors to apply a ‘Profit Rate’, defined as a margin between the contractual price and the declared cost. This rate is calculated on the basis of the relevant eligible costs (as defined in the Annex 1 to the GCC-ESA REG/002 rev.3) of each company.

When determining the allowable Profit Rate there needs to be a clear understanding of the types of risks endorsed in the various types of contracts and activities. The greater the risk accepted by the contractor the greater the profit allowance should be.

The Profit Rate shall be determined taking into account two type of risks: the Contractual Risk and the Complexity Risk (herein both considered as Core risks).

2.1 Contractual risk

The contractual risk is based on the price type of the contract. The price types are those defined in the General Clauses and Conditions for ESA Contracts ref. ESA/REG/002, rev. 3 Annex II.

From these, the following classification is provided in an increasing order of risk taking by contractors:

a) Time and Material (T&M) including fixed % fee or Cost Reimbursement
b) Fixed price based on firm level of effort: Full time Equivalent (FTE) x Fixed Unit Price (FUP)
c) Cost Plus incentive fee (with target cost, cost sharing and maximum price ceiling)
d) Ceiling price to be converted into Fixed Price
e) Fixed Price with variation
f) Firm fixed price

Time and Material or Cost Reimbursement price contracts (without ceiling) as well as Fixed Unit Prices, constitute a minimal risk obligation of the contractor as all the incurred allowable costs will be paid on the basis of actuals at current economic conditions plus the agreed profit fee and, in some cases, agreed incentives.

Fixed price contracts (whether Firm Fixed or Fixed with variation or Ceiling price to be converted into fixed price) as well as Cost Plus Incentive Fee (within a ceiling) can potentially result in losses and inherently carry the highest level of risk for the contractor. They shall therefore be awarded with a higher level of profit.

For Contracts awarded on co-funded basis (i.e. when the contractor agrees to self-fund a portion of the cost), it is assumed that the contractor is willing to invest in the activities because of potential immediate and/or future return in its business; and in this context, ESA represents a partner and shall not cover additional margins beside the agreed reasonable cost.

2.2 Complexity risk:

The complexity of the activities undertaken in a contract will depend on the technical challenges and the level of uncertainty to meet contractual obligations.

Each of these obligations has a different level of complexity and thus higher percentages of profit should be applied - for example when dealing with new technologies or complex and innovative activities and services- whilst lower percentages should be applied when the activity is the procurement of off-the-shelf products or services or corresponds to routine and standard activities.

In the ESA context and for the purpose of this policy, the obligations are categorized as follows when considering the associated risk in increasing order of risk taking by the contractors:

a) Labour supply
b) Product and service supply
c) R&D technology development and/or studies
d) Service development contracts including complex and innovative services
e) Space Project development (Phases B/C/D/E1) including options for Recurrent Models developments

Labour supply: Consist mainly of manpower support contracts (Loan) for management, engineering or operations resources in support of the Agency activities. Without questioning the high level of expertise often required under these contracts (and reflected in the relevant industrial rates), the risk for these contracts is fully on ESA side with the price being computed on either actual costs or pre-defined on a firm level of effort. Performance can be further incentivised based on KPI's.

Product and service supply: The obligation undertaken under this type of contracts does not imply an intensive development, being related with products or services already available or easily tailored. This description can include typically cases of space routine operations services and fully recurrent hardware as assessed at the time of bidding (e.g. commercial Off the Shelf equipment for which reproduction can be implemented with no change to manufacturing drawings).

R&D technology development and/or studies: this category covers all technology programmes as well as studies, including Project Feasibility studies (Phases 0/A). Under these contracts, the driving obligation is to perform some tasks (SOW) on best reasonable efforts basis with any additional tasks to be paid by ESA.

Service development including complex and innovative services: The obligation undertaken under this type of contracts does imply a high responsibility from the contractor to provide high quality tailored services. This description can include typically the development of elaborated mission operation procedures, complex software, engineering tools or hardware in support of the service requiring a high level of qualification with the obligation to provide deliveries in compliance with specific technical requirements. It is acknowledged that service development contracts in ESA are often mixed with Service Supply (e.g. when challenging development activities under Fixed Prices Work Orders are mixed with service supply for routine operations). In such particular cases, the Executive will define the applicable profit level in the ITT, together with possible incentives to reward good performance against clearly defined requirements.

Space Project definition and development: Consist mainly in contracts covering the Phase B/C/D/E1 of ESA main missions which combine a large technical and programmatic complexity over several years (typically over 4-5 years). Launcher Development projects also fall under this category.

2.3 Profit Rate calculation

Considering the taxonomies and interconnection of the contractual and complexity risks, the determination of the Profit Rate will be done using the following matrix. The profit rate selected for the ITT, will depend on the features of the proposed procurement. Any deviation from the matrix shall be justified and remain within the minimum and maximum boundaries of such matrix.

Matrix 1: Profit Rate of core risks

		Technical assistance and service contracts	Fully recurrent product or service supply	R&D : technology development and/or studies	Service development contracts	Space Project definition and development phases
a) fixed price	firm fixed price	6%	6%	8%	8%	9%
	fixed unit price	6%	6%		8%	
	fixed price with price variation	6%	6%	7%	7%	8%
b) ceiling price	ceiling price to be converted into fixed price or cost reimbursement within a ceiling	6%	6%	8%	8%	9%
c) cost reimbursement without Ceiling	cost-plus fixed fee	4%	5%	6%	6%	6%
	cost-plus-incentive fee		5%	6%	6%	6%
	time and material	4%	5%	6%	6%	6%
	Co-Funded	0%	0%	0%	0%	0%

The Profit Rate must be applied to the company's own allowable costs according to the following formula:

Contract Profit = Profit Rate x company's own allowable costs

The company's own allowable costs shall be determined according with ESA costing regulations (Annex I to the General Conditions for ESA Contracts) and exclude Cost Without Additional Charges, Financial provision for escalation and sub-contractors price.

2.4 Applicability and contractual treatment of the Profit Rate

A clear description of the type of activity will be part of the Statement of Work (SOW) that is included in the Invitation to Tender (ITT) and Request for Quotation (RFQ) together with the Price type and the applicable Profit Rate in the draft contract and/or tender conditions.

While a particular project may contain several of the above categories (Section 2), it is intended for the sake of smooth and transparent implementation, to apply the profit rate relevant to the main obligation category to the whole supply chain, unless such categories can be easily dissociated as part of the Invitation to Tender.

In case of contract change notices (CCNs) for the same type and mix of work, similar cost elements and risk profile, then the Profit Rate for the main activity will be maintained, otherwise the level of profit will need to be reassessed as per this policy.

3. Contractual risk sharing provisions

As part of the industrial cost within the cost at completion under a given project/programme (excluding programme contingency), each space project, as defined in section 2 above, includes a Management Reserve. This is an ESA specific risk management tool in the form of a financial provision to cover any possible risk under the responsibility of the contractor in the performance of a project allowing the contractor to provide a fixed price commitment (FPV, Ceiling Price or FFP).

The Management Reserve shall be made of the Basic Management Reserve (BMR) and the Subcontractor Management Reserve (SMR).

$$MR = BMR + SMR$$

The Baseline Management Reserve (BMR) is dedicated to cover classical development risks and it is dimensioned on the basis of a detailed risk and impact analysis documented in a Risk Register which is to be provided based on the specificities of each project. Although it is subject to an ad-hoc justification, it can be commonly agreed that the main risk categories common to all projects are:

- Technology risks, depending on the level of TRL at start of project;
- Consortium build-up risk: whether in the context of Best practices incremental selection or under full consortium offer, to cover the consolidation of the subcontractors prices and scope of work.

- Schedule risk: next to the schedule provisions necessary for building the project planning, the Management reserve also includes associated financial provisions for the team maintenance in case other risks would materialise and lead to project delays.
- "Class B changes" of Subcontractors affiliated to the Prime contractor to cover changes which are not eligible for price increase at ESA level (Class A) but which introduce new requirements at subcontractor level (class A for said subcontractors).
- Other eligible risks not covered by SMR scope and/or other risk management tool.

The Subcontractor Management Reserve (SMR) is dedicated to cover the risk of subcontractors not affiliated to the prime contractor as long as such risks are not caused by the said Prime contractors. Such SMR is proposed as a response to address the increased risk associated to Industrial Policy requirements and in particular the requirement to subcontract outside the Group. It will cover the justified costs not addressed by BMR, of said subcontractors and, subject to ESA prior approval, the justified direct costs of the relevant customer to palliate subcontractors' deficiencies. However, when the Prime contractor (at any tier) is responsible for the risk occurrence and/or change needs in its industrial consortium (Class B), the associated costs shall be covered by the said Prime as part of its BMR.

It shall further be clear that the SMR is not meant to reduce in any manner the contractual responsibility of the relevant supplier and/or prime contractor but only to compensate justified hardship conditions beyond the reasonable control of industry at any tier and after exhaustion of other contractual tools (in particular the contractual commitment and the BMR of relevant supplier).

3.1 Management Reserve calculation

A minimum percentage shall be secured for both Management Reserves. This minimum level shall be defined in the ITT taking into account the specificities of the project and other risk mitigation or sharing measures. In the absence of other risk sharing measures, and bearing in mind that a significant and healthy management reserve is always encouraged, the minimum percentages are expected not to be less than:

- BMR: 5% of the total contract price, excluding CWAC and Profit. The BMR must be nonetheless justified on the basis of the risk register.
- SMR: 2% of the total sub-contractors price outside the Prime's Group to be calculated at System Prime level and to be broken down the contractual chain as relevant. Companies within the Prime's Group are considered those with the same

parent legal entity and its affiliates as defined in the EU Directive on consolidated accounts DIRECTIVE 2013/34/EU) with double control rules (shares and voting rights).

3.2 Applicability and contractual treatment of the Management Reserve

- Entities entitled to include the MR as part of their price:
  All the companies in the contractual chain are entitled to include a BMR as part of their price, except for low-risk procurement (as for example off-the-shelf procurement). SMR allocation will be foreseen for prime contractors at any tier (System, Sub-system or large equipment) with a share of the work subcontracted outside its own industrial group but excluding SMR already included at lower level in order to avoid duplication. However, rather than a systematic cascading of the SMR, the Executive may decide, for the sake of smooth implementation within the specific project, to aggregate (part of) the SMR under the appropriate level of contracting. In such case, while the SMR will be broken down in line with the contractual structure of the project, its management will be kept at ESA and Prime level and be only irrigated down the lower contractual chain upon proper justification and exhaustion of other means (baseline commitment and use of own BMR).

- Entities entitled to control the MR funds:
  The control of the BMR is primarily under the responsibility of the relevant (sub)contractor with overrun and underspending not affecting the contract price. Nevertheless, this shall not prevent the parties to agree that the BMR use may be subject to approval and incremental release by the Agency, or direct customer in the contractual chain.

  With exception of direct prime contractor costs to de-risk or palliate subcontractors' deficiencies (which shall be approved beforehand by ESA) the SMR will remain under the relevant contractor control with full visibility to the upper contractor level and to ESA, who will verify the fair treatment of suppliers at all levels of contracting.

- Replenishment & Residual amounts:
  Any risk materialisation beyond the established BMR shall be borne by the Prime Contractor or relevant subcontractor entitled to such BMR.

  Any risk materialisation beyond the established SMR , and after due consideration of the BMR consumption, shall be subject to good faith discussion between the parties. Should the contractor demonstrate "best effort" performance and in particular evidence of professional and proactive risk and subcontractor management, ESA will consider to replenishing the SMR. Should the replenishment of the SMR be justified this will be implemented through a CCN in compliance with the Art. 43.2.b of the Procurement Regulations. Should such replenishment not be affordable within the boundaries of the cost at completion of the relevant programme (i.e. programme contingencies), the parties will agree to adapt the sequence and/or content of the activities without affecting the relevant mission objective.

In principle, any residual amount of the BMR at contract completion can be kept by the Prime contractor whilst any residual amount of the SMR shall be reverted directly to ESA. The Agency may nevertheless agree on a different ruling for a particular contract in order to incentivise and/or reward the contractor, at any tier, from efficient risk management (in particular in absence of replenishment).